

Jack soon got behind on his car payment. He didn't believe it was his fault. Because he had started to attend community college, he had been forced to cut down on his hours at work. He had stopped making his payment over two months ago, but was sure he would catch up this month since he had begun working extra hours at his job. He ignored the letters from his car lender. He wasn't concerned; soon he would be on track again.

When Jack came home one night after work, his father was waiting for him. It turned out that the collection department had called the house looking for Jack earlier that evening and his father had answered the phone. Jack could no longer ignore his problem. His father had scheduled an appointment for the next day to go the dealership and see what solutions were available to Jack.

Jack could have avoided this situation altogether if he had done a budget prior to shopping for a car. The total car budget (bottom line) should be an amount that he could realistically afford. Each line needs to be filled in so that the total is accurate. Leaving out substantial expenses like "insurance" will not reflect the total expense of his new purchase, especially because insurance for young males on sports cars can sometimes be more expensive than the monthly loan payment.

Car Budget (monthly)

Fixed Expenses:

Car payment	_____
Car insurance	_____
Car registration (annual expense)	_____

Flexible Expenses:

Gas/Oil	_____
Parking/Tolls	_____
Repairs	_____

